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BREAKWAVE ADVISORS

Tanker Shipping

October 22, 2024

Breakwave Tanker Futures Index:	1,411	VLCC Middle East-Asia Spot Rates:	13.99	Short-term Indicators:	
↑ 30D: 9.3%		↑ 30D: -4.9%		Momentum:	Neutral
↑ YTD: 16.3%		↓ YTD: 5.6%		Sentiment:	Positive
↑ YOY: 5.8%		↑ YOY: -5.8%		Fundamentals:	Positive

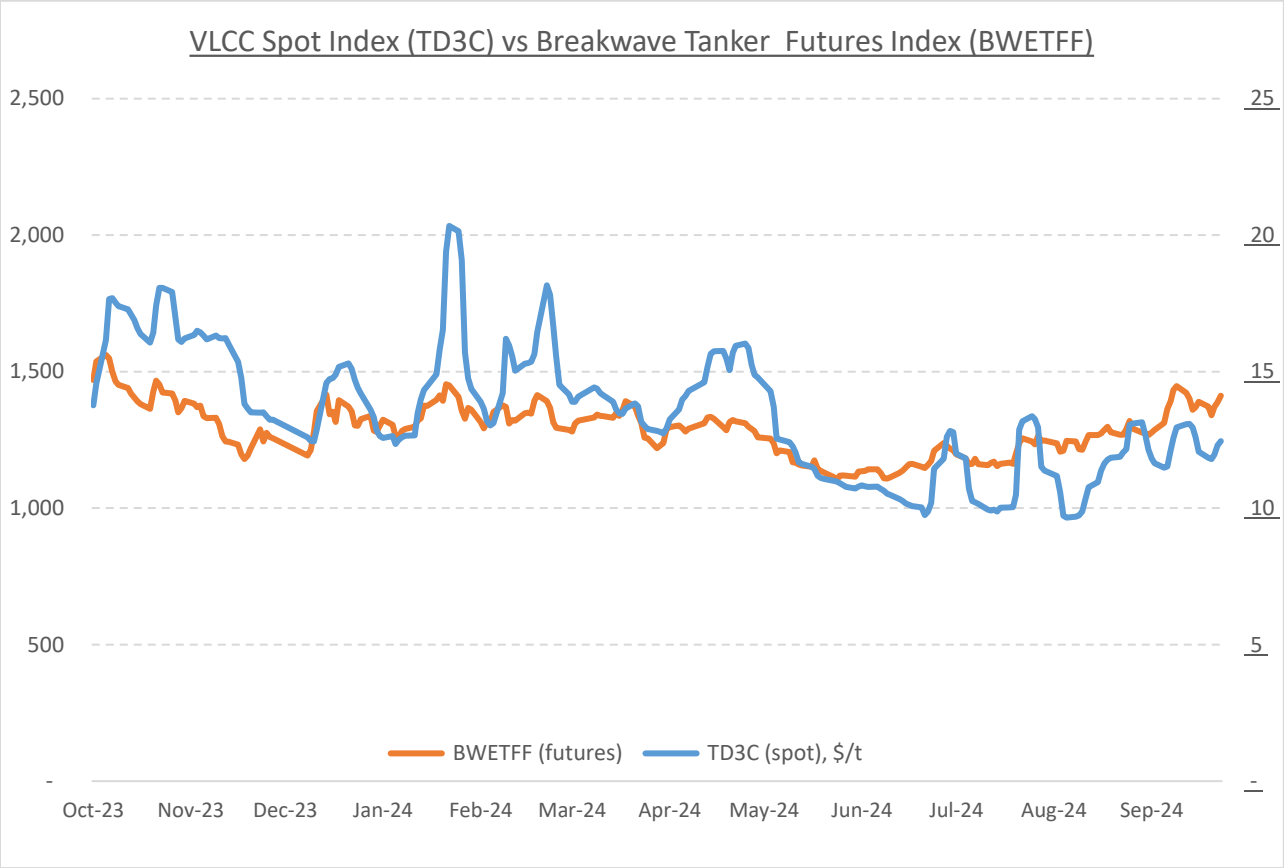
Bi-Weekly Report

- **VLCC Market Strengthens as Geopolitical Tensions Rise and Winter Demand Looms –** The third week of October closed with signs of firmer market sentiment for VLCC owners in both the East and West regions, as **geopolitical tensions** in the Middle East **persisted** despite oil prices edging lower. Earlier in the month, geopolitical unrest had **shifted the market dynamics**, leading many shipowners to hesitate in offering cargoes, which **reduced tonnage availability** and pushed up spot rates. Middle East to China rates are now showing a stronger outlook for the rest of October, climbing ~5% above the previous month's levels, despite a continued influx of modern tonnage. In West Africa, VLCC rates also rebounded, particularly later in the week, driven by renewed demand for cargoes to India and the UK/Europe. The **recovery** has been **largely sentiment-driven**, with owners eager to end the year on a positive note. Looking ahead, **VLCC owners appear well-positioned** to hold their ground throughout the fourth quarter, especially with activity in the Atlantic showing signs of growth. Petrobras' recent announcement to maximize oil output, coupled with fluctuating oil prices, has provided a further boost to sentiment. Adding to the market complexity is the **renewed U.S. sanctions on Iran**, which could tighten crude flows to China and drive-up shipping costs. This situation may **force China's independent refineries**, the largest buyers of Iranian crude, to **seek alternative supply** sources, especially if tensions between Iran and Israel escalate further. Such a scenario could create **prolonged uncertainty** in the market, potentially putting upward pressure on freight rates.

- **Anticipation Over an Israeli Strike Keeps Oil Markets on its Toes –** The **oil** markets remain in a **precarious mode**, as a rather negative fundamental picture surrounding future oil demand growth is offset by the risk of supply disruptions due to a potential military strike in Iran by Israel. Uncertainty remains high as to the extent of such a military operation and the resulting impact on oil supplies, and although **amble excess production capacity** should in theory cover any such disruption, the fact that the world might experience such a conflict **in the heart of the most important oil production region** understandably keeps oil traders on edge. On the other hand, **Chinese oil demand** continues to show signs of **deceleration**, with September being another tepid month. **Optimism** dominates some **forecasts** for a Chinese demand recovery, yet it is difficult to see a meaningful rebound when several structural factors continue to come in favor of **peak crude oil demand growth** (but **not necessarily total oil demand** growth, difference being oil-related gasses that should continue to grow at healthy rates). A **measurable decline** in oil prices might tip the **oil curve into contango**, which should be a very welcomed development for the tanker market and **the reason for our optimistic outlook** for crude freight rates going forward, as a repeat of the 2015-2017 market remains our base case scenario.

- **Our Long-term View –** The tanker market is recovering from a long period of staggered rates as the growth in new vessel supply shrinks while oil demand remains elevated in line with the global economy. A historically low orderbook combined with favorable shifting trade patterns should continue to support increased spot rate volatility, which combined with the ongoing geopolitical turmoil, should support freight rates in the medium to long term.

The Baltic TD3C Index measures the spot rate in USD per ton for Very Large Crude Carriers (VLLCC) operating in the Middle East to Asia route. The Breakwave Tanker Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 90% VLCC TD3C and 10% Suezmax TD20 and a weighted average maturity of approximately 50-70 days.



Tanker Fundamentals

Demand	YTD	YOY
World Oil Demand	104,390 kbpd	0.9%
Oil Supply, OPEC	26,610 kbpd	-5.1%
Oil Supply, non-OPEC	68,630 kbpd	1.7%
OECD Total Crude Oil Stocks	1038.6 MMbls	-3.3%
US Crude Oil Exports	29.7 MMbls	6.9%
China Oil Imports	412.4 MMbls	-2.8%
Global Crude Oil Floating Storage	58.8 MMbls	0.9%

Supply		
Tanker Fleet	693.8 mdwt	0.9%

Freight Rates		
VLCC Middle East-Asia, USD/ton	12.96	-6.1%
Suezmax West Africa-Europe, USD/ton	17.57	-10.5%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg, IEA, Clarksons and Breakwave Advisors

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